Dimensions	Indicators	Min. Value	Basis	Max. Value	Basis
Long and Healthy Life	Life expectancy at birth (years)	20	No country in the 20th century had a life expectancy of less than 20 years as per research studies of A. Maddison, J.Oeppan and J.W. Vaupel and J.C. Riley	85	A realistic aspirational target for many countries over the last 30 years
Knowledge	a) Expected years of schooling for a school-age child	0	Societies can subsist without formal education	18	It is equivalent to achieving a master's degree in most countries
	b) Mean years of prior schooling for adults aged 25 and older.	0	Societies can subsist without formal education	15	The projected maximum for 2025
A decent Standard of Living	GNI per capita(2011 PPP US $)	100	Considerable amount of unmeasured subsistence and nonmarket production in economies is close to this minimum value. It is not captured in the official data.	75000	There is virtually no gain in human development and well-being from annual per capita income of this amount as per the study of D. Kahneman and A. Deaton.

Source: HDR 2009, 2010 and 2018

Calculation of Sub Indices and Master Index

Performance for health, education and standard of living is expressed as a value between 0 and 1 by applying the following formula:

Dimension Index = (Actual value – Minimum Value)/(Maximum value – Minimum Value)

The method of converting the absolute value into indices by using the above formula is called **normalisation.** It is also called **standardisation**.

To calculate education index, the indices viz., expected years of schooling and average years of schooling are given same weight and their arithmetic mean is calculated.

The capability of higher level of income is not that of lower level of income in expanding the human capability. It diminishes with increase in income. Sudhir Anand and Amartya Sen in their study